

# Unit II: Creativity, Innovation and MVP

# The challenge of adding value in today's economy

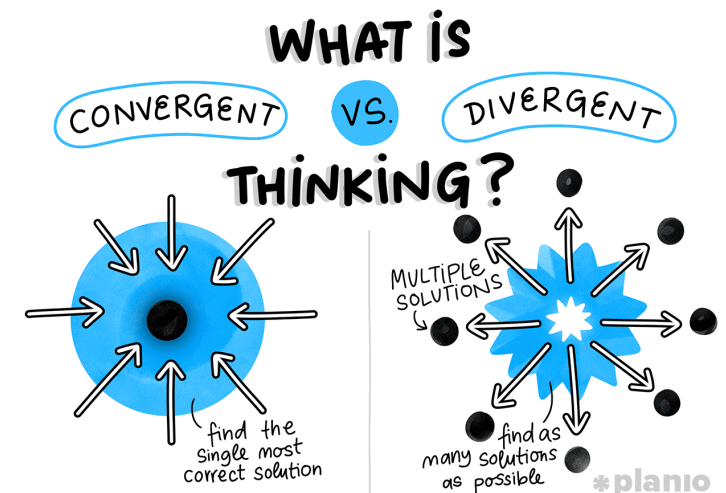
- Raw materials/Inputs: Processing (**Value addition**) = Value added output/component; product; sale; **Profit**
- Value addition: **Better**: Functional/technological or aesthetic/non-technological; Rational/Emotional (**More for Less**)
- Price; access/availability; consistency
- Individual, Enterprise (legal person), Chains, Networks; consortia; **Open Innovation** (Industry-Government-Academia)
- Ownership vs. access to knowledge
- **Value Addition, Value Delivery and Value Extraction**

# Creativity

- Creativity is the ability to develop **original and useful ideas**.
- Starting point for **opportunity identification** in entrepreneurship.
- Helps entrepreneurs **see patterns** and generate solutions.
- Supports problem-solving and competitive advantage.
- Includes **divergent thinking**, imagination, and openness to change.
- Forms the foundation for innovation and venture creation.



| Aspect  | Divergent Thinking                        | Convergent Thinking                     |
|------------------------------------------------------------------------------------------|-------------------------------------------|-----------------------------------------|
| Goal                                                                                     | Generate many ideas or possibilities.     | Select the best idea or solution.       |
| Approach                                                                                 | Free-flowing and creative brainstorming.  | Analytical and logical decision-making. |
| Process                                                                                  | Spontaneous, non-linear, and exploratory. | Structured, linear, and systematic.     |
| Outcome                                                                                  | Multiple potential solutions.             | A single, specific solution.            |



# Types & Processes of Creativity

**Individual Creativity:** personal traits, knowledge, cognitive style, and motivation.

**Organizational Creativity:** culture, leadership, teamwork, resources.

## **Creative Process Stages:**

1. **Preparation** – gathering information and understanding problems.

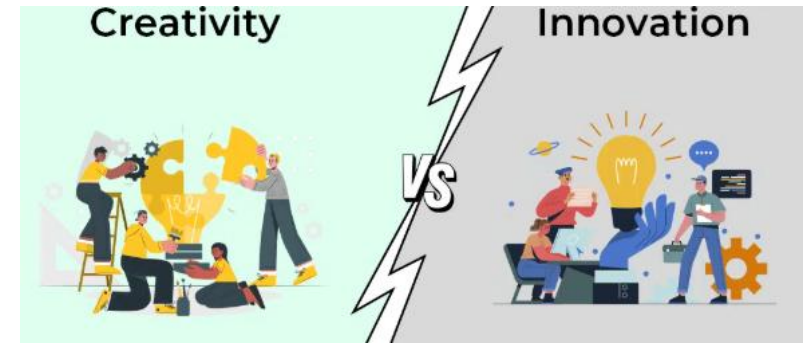
2. **Incubation** – subconscious processing and reflection.

3. **Illumination** – emergence of new insight or idea (“Eureka moment”).

4. **Verification** – evaluation, refinement, testing.

• Tools: brainstorming, mind mapping, lateral thinking, etc.

# Innovation



- ✓ **Innovation** is the process of transforming a creative idea into a **practical, valuable product, service, or process**.
- ✓ Central to entrepreneurial success and competitive market positioning.
- ✓ Drives **economic growth**, value creation, and differentiation.
- ✓ Innovation converts ideas into marketable outputs through **experimentation, development, and implementation**.
- ✓ Often requires **risk-taking**, resource commitment, and customer feedback.

# Dimensions of innovation

There are several types of innovation

- Process, product/service, strategy,

which can vary in degree of newness:

- Incremental to radical,

and impact:

continuous to discontinuous

# Drivers for innovation

- Financial pressures to reduce costs, increase efficiency, do more with less, etc
- Increased competition
- Shorter product life cycles
- Value migration
- Stricter regulation
- Industry and community needs for sustainable development
- Increased demand for accountability
- Demographic, social and market changes
- Rising customer expectations regarding service and quality
- Changing economy
- Greater availability of potentially useful technologies coupled with a need to exceed the competition in these technologies

# Types of Innovation

- **Product Innovation:** Introduction of new or improved goods/services.
- **Process Innovation:** Improvements in production, distribution, or operating processes.
- **Business Model Innovation:** Changing the way a firm creates, delivers, and captures value.
- **Incremental Innovation:** Small, continuous improvements.
- **Radical/Disruptive Innovation:** Major breakthroughs transforming industries.
- **Encourages entrepreneurs to identify new markets, cost advantages, or novel value propositions.**

## The Innovation Landscape Map

When creating an innovation strategy, companies have a choice about how much to focus on technological innovation and how much to invest in business model innovation. This matrix, which considers how a potential innovation fits with a company's existing business model and technical capabilities, can assist with that decision.

|                       | BUSINESS MODEL                                                                                                                                                |                                                                                                                                                           |
|-----------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
|                       | REQUIRES NEW                                                                                                                                                  | LEVERAGES EXISTING                                                                                                                                        |
| TECHNICAL COMPETENCES | <b>Disruptive</b><br>Open-source software<br>Software companies<br>Video on demand<br>DVD rental services<br>Ride-sharing services<br>Taxi and limo companies | <b>Architectural</b><br>Personalized medicine<br>Pharmaceutical companies<br>Digital imaging<br>Polaroid and Kodak<br>Internet search<br>Newspapers       |
|                       | <b>Routine</b><br>A next-generation<br>3 Series<br>BMW<br>A new index fund<br>Vanguard<br>A new 3D-animated film<br>Pixar                                     | <b>Radical</b><br>Biotechnology<br>Pharmaceutical companies<br>Jet engines<br>Aircraft manufacturers<br>Fiber-optic cable<br>Telecommunications companies |
|                       | LEVERAGES EXISTING                                                                                                                                            | REQUIRES NEW                                                                                                                                              |
|                       | TECHNICAL COMPETENCES                                                                                                                                         | TECHNICAL COMPETENCES                                                                                                                                     |

Source: Gary P. Pisano

From: "You Need an Innovation Strategy," June 2015

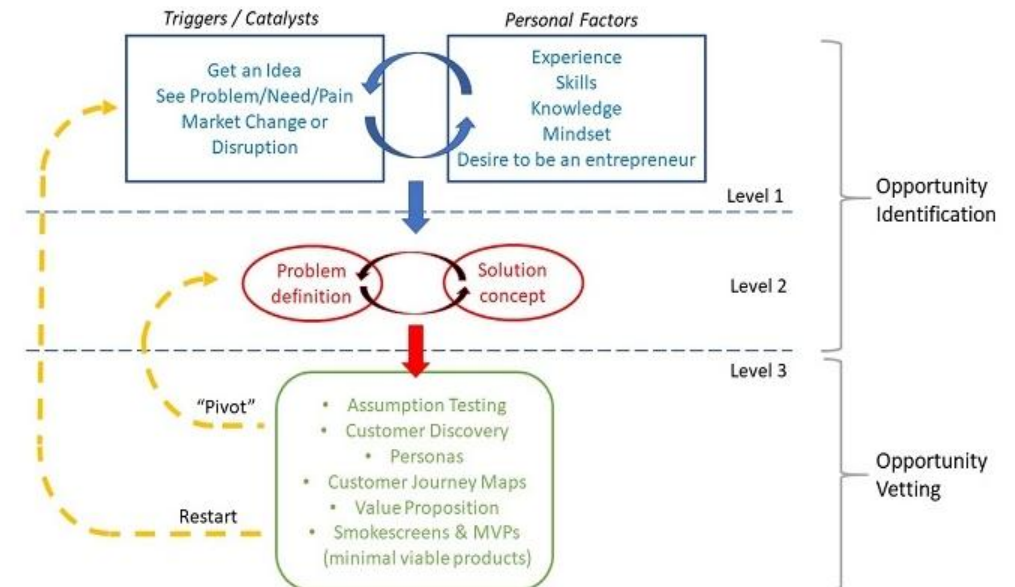
# Opportunity Recognition



- ✓ Opportunity recognition is the ability to **identify a favorable set of circumstances** that creates a need for a new product, service, or business.
- ✓ A business opportunity must be **attractive, durable, timely, and anchored in customer needs**.
- ✓ Entrepreneurs analyze market gaps, emerging trends, and pain points.
- ✓ Comes from both **systematic search** and the entrepreneur's personal experiences.

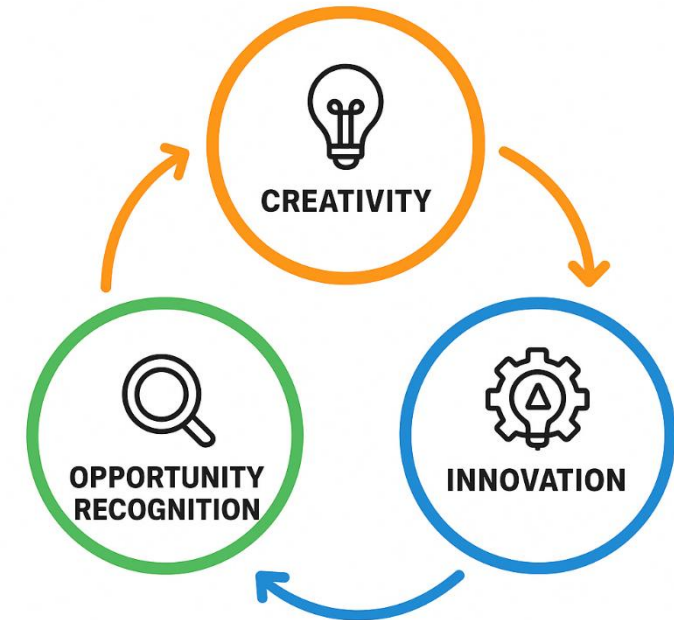
# How Opportunities Are Recognized

- ✓ Opportunity Recognition Framework:
  - ✓ **Entrepreneur (person)** – prior knowledge, alertness, experience.
  - ✓ **Environment (context)** – technology, market trends, competition.
  - ✓ **Idea (creativity)** – novel solutions and alternative thinking.
- ✓ Key mechanisms:
  - ✓ **Entrepreneurial Alertness** – ability to notice overlooked patterns and changes.
  - ✓ **Prior Knowledge & Experience** – domain expertise.
  - ✓ **Social Networks** – connections provide information and problem insights.
- ✓ Tools: customer interviews, market research, trend analysis, design thinking.



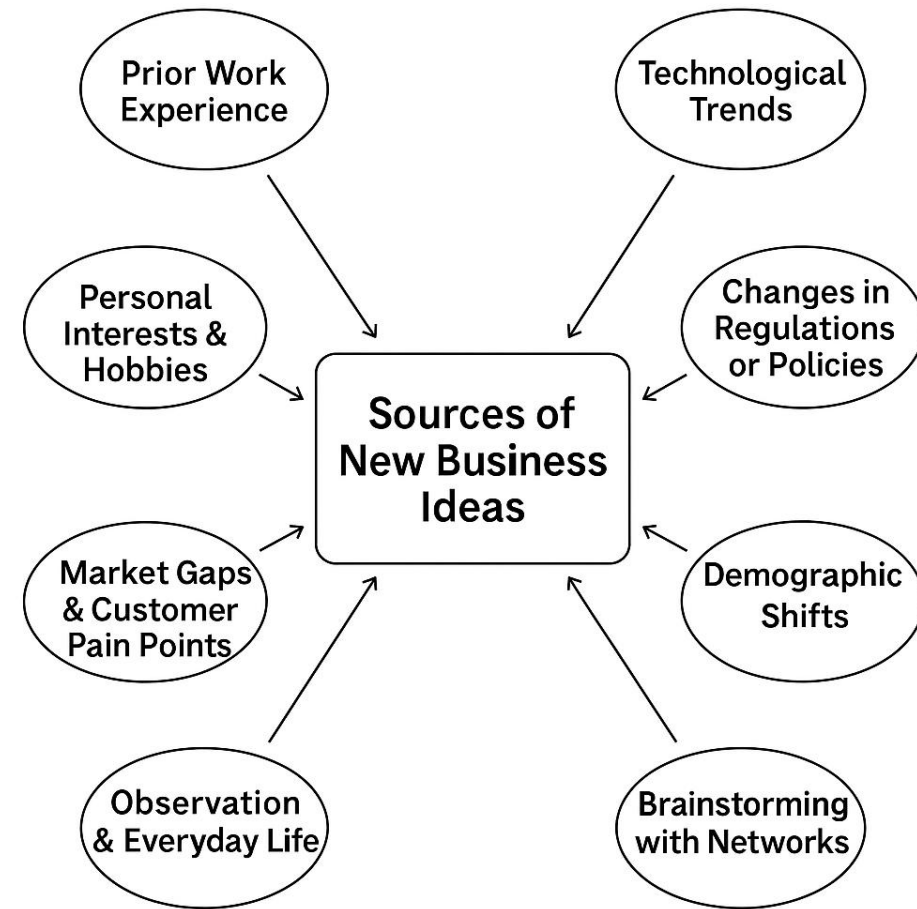
# Relationship Between Creativity, Innovation & Opportunity Recognition

- ✓ **Creativity** generates **new ideas**.
- ✓ **Innovation** converts those ideas into **market-ready solutions**.
- ✓ **Opportunity recognition** validates whether ideas solve real customer problems.
- ✓ These three processes create a cycle that leads to **successful new venture creation**.



# Sources of New Ideas

- Consumers
  - Informally monitor potential ideas and needs.
  - Formally arrange for consumers to express their opinions.
- Existing Products and Services
  - Analysis uncovers ways to improve offerings that may result in a new product or service.
- Distribution Channels
  - Channel members can help suggest and market new products.
- Federal Government
  - Files of the Patent Office can suggest new product possibilities.
  - New product ideas can come in response to government regulations.
- Research and Development
  - A formal endeavor connected with one's current employment.
  - An informal lab in a basement or garage.



# Methods of Generating New Ideas

- Focus Groups

- A moderator leads a group of 8 to 14 participants through an open, in-depth discussion in a directive or nondirective manner.
- An excellent method for generating and screening ideas and concepts.

- Brainstorming

- Allows people to be stimulated to greater creativity.
- Good ideas emerge when the brainstorming effort focuses on a specific product or market area.
- Rules of brainstorming:
  - No criticism.
  - Freewheeling is encouraged.
  - Quantity of ideas is desired.
  - Combinations and improvements of ideas are encouraged.



# Methods of Generating New Ideas

- Brainwriting
  - A form of written brainstorming.
  - Participants write their ideas on special forms or cards that circulate within the group.
- Problem Inventory Analysis
  - Consumers are provided with a list of problems and are asked to identify products that have those problems.
  - Results must be carefully evaluated as they may not actually reflect a new business opportunity.

## Sources of new business ideas

- **Market analysis:** Researching existing markets to find gaps, unmet needs, and opportunities for improvement.
- **Trend analysis:** Observing social, technological, and economic trends to anticipate future demands.
- **Customer feedback:** Directly listening to customer pain points and suggestions to inspire new products or services.
- **Personal experience:** Identifying problems or inconveniences you encounter in your own life that you believe others also face.
- **Existing products or services:** Improving upon or adapting current offerings to create a better version.

## Tools for idea generation

- **Brainstorming:** A group-based method focused on generating a large quantity of ideas without initial judgment.
- **Mind mapping:** A visual technique that uses a central idea to branch out and connect related concepts, fostering creativity and organization.
- **SCAMPER:** A mnemonic for a set of questions (Substitute, Combine, Adapt, Modify, Put to another use, Eliminate, Reverse) to help spark new ideas about an existing product or service.
- **Role-playing:** Stepping into the role of a customer or competitor to understand their perspective and identify potential needs or opportunities.
- **Synectics:** A creative problem-solving method that uses analogies and metaphors to force new connections and insights.
- **Brainwriting:** A silent variation of brainstorming where participants write down their ideas before sharing, which can encourage participation from quieter individuals. 

Key tools and methodologies mentioned in or associated with HBR content include:

- **Design Thinking:** This methodology emphasizes ethnographic research, problem reframing, and experimentation using diverse teams. Exercises like the "Gallery Walk" (where stakeholders tour posters of customer data and insights) help teams synthesize information and challenge biases.
- **Problem-Framing:** HBR emphasizes spending time understanding and defining the problem before jumping to solutions. The "**E5 approach**" (expand, examine, empathize, elevate, and envision) is a framework to explore the problem space from various perspectives and generate fresh insights.
- **"Jobs to Be Done" (JTBD) Lens:** This approach, associated with Clayton Christensen, involves understanding the specific "job" a customer is trying to get done (e.g., using a milkshake for a long, boring commute) to identify relevant improvements and new ideas.
- **Generative AI:** HBR articles explore how AI can augment human creativity, speed up idea generation, and help overcome challenges in democratizing innovation. It can be used to generate lists of ideas, create "synthetic customers" for market research, and help managers think through problems.
- **Brainstorming and Variations:**
  - **Brainstorming:** The traditional method for generating a large quantity of ideas without judgment.
  - **Brainwriting:** Team members jot down ideas on paper and pass them around, allowing others to build upon them, which can promote inclusivity and diverse perspectives.
  - **"What if" and "Wishing":** Techniques that involve exploring hypothetical scenarios or impractical wishes to encourage creative, out-of-the-box thinking.

- **Structured Acronyms:**

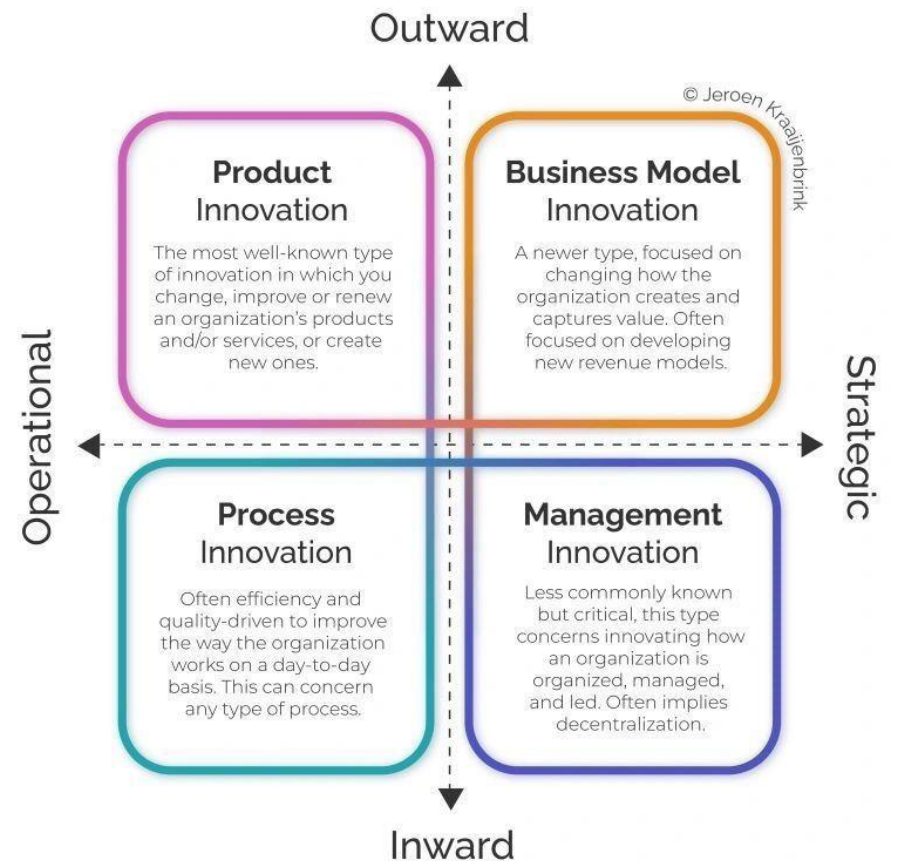
- **SCAMPER:** An acronym (Substitute, Combine, Adapt, Modify, Put to another use, Eliminate, Reverse) used as a checklist to reimagine and enhance existing products or services.
- **SWOT Analysis:** While also used for evaluation, it can help in the idea generation phase by assessing the strengths, weaknesses, opportunities, and threats of potential projects.

- **Visual and Narrative Tools:**

- **Mind Mapping:** A visual method for organizing complex information, showing the relationships between different ideas and project details.
- **Storyboarding:** Sequencing an idea's journey from concept to product using images and graphics to create a clear visual narrative that highlights friction points and areas for enhancement. 

| <u>Type of Innovation</u> | <u>Focus</u>                 | <u>Goal</u>                     | <u>Example</u>                           |
|---------------------------|------------------------------|---------------------------------|------------------------------------------|
| <b>Product</b>            | What customers buy           | Improve functionality, features | iPhone updates, new EV model             |
| <b>Process</b>            | How it is produced/delivered | Efficiency, cost reduction      | Automation, online bookings              |
| <b>Business Model</b>     | How the business makes money | New value creation, new markets | Netflix streaming, subscription services |

## Four Types of Innovation



# Value proposition and minimum viable product (MVP)

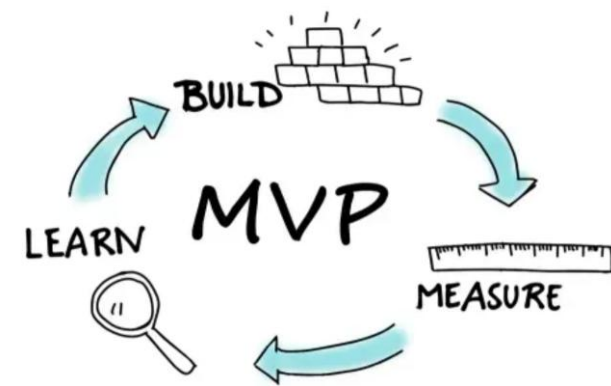
## Value Proposition

- The value proposition articulates **why customers will choose your product or service**, capturing the **unique benefits and value** it provides to the customer.
- Key Ideas :
  - It defines **the essence of the business** in terms of how it differentiates itself in the marketplace.
  - A strong value proposition reflects the firm's **competitive advantage**.
  - It describes **what the firm will deliver to customers**, and **why the offering is compelling**.
  - It should clearly highlight **the problem being solved** and **the value created**.
- The value proposition is linked with:
  - **Target market**
  - **Differentiation**
  - **Customer benefits**
  - **Firm's strategic positioning**
  - ✓ Explains **why customers should buy** from the firm.
  - ✓ Central part of the business model's **Core Strategy**.
  - ✓ Communicates **unique benefits** and **competitive advantage**.
  - ✓ Reflects how the business solves a **customer need**.
  - ✓ Must be **clear, simple, and market-driven**.

# Minimum Viable Product (MVP)

- An MVP is the **simplest version of a product** that allows entrepreneurs to **test assumptions, validate demand**, and **receive early customer feedback** with minimal resources.
  - **M (Minimum)** is something small, compact, and incomplete that doesn't have all of the bells that whistles the final product will have. It just the core, the minimum.
  - **V (Viable)** is the idea that it actually works and is viable in solving a problem for customers.
  - **P (Product)** is often the main focus, though the M and the V are equally important. Also, MVP is not simply developing an initial product; **it is an entire process.**

“When you think about building an MVP, you need to start by first thinking about what do you need to learn.”

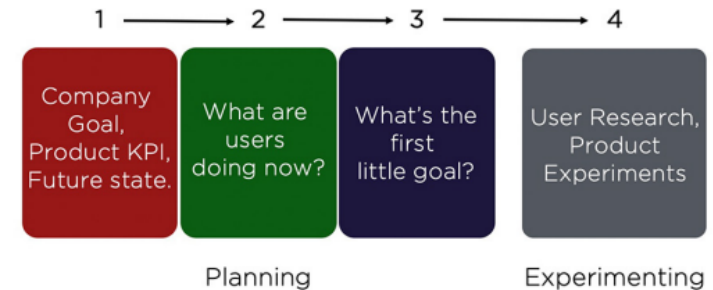


# Minimum Viable Product (MVP)

- MVP-like ideas with:
  - **Concept testing**
  - **Feasibility analysis** (product/service feasibility)
  - **Prototype development**
  - **User feedback loops**
- The purpose is to **avoid building a full product until the idea is validated.**
  - ✓ *Simple, low-cost version used for **initial market testing**.*
  - ✓ *Allows collection of **real customer feedback**.*
  - ✓ *Reduces risk and avoids building unnecessary features.*
  - ✓ *Supports **feasibility analysis** and improves eventual product-market fit.*
  - ✓ *Supports iterative development and strategic decision-making.*

## Product Kata

A scientific, systematic way to build better products.



This framework consists of:

1. **Understanding and defining the company's goal.** For a startup, this is often acquiring new customers.
2. **What are users doing today?** How are they solving their problems? What is the current state of your product in relation to the goal?
3. **What's the first little goal to achieve?** Break down the big goal into smaller, sequential pieces. Define the very first thing that needs to be learned.
4. **Run experiments to gain learning.** Rarely does the MVP process involve running just one experiment. More likely it is running a focused experiment on one variable, gaining learning through the experiment, and then running another experiment. Developing products and solutions is often the result of numerous iterative experiments.

# Value Proposition vs. MVP

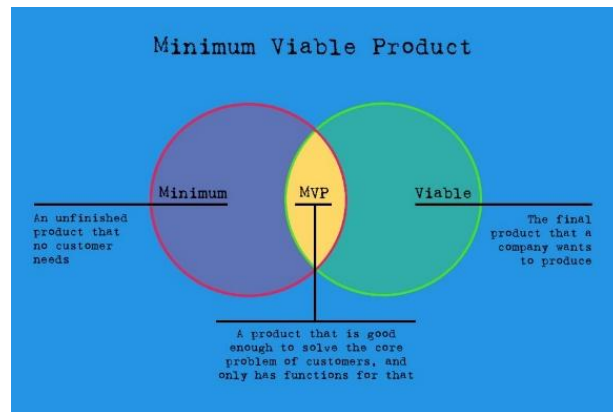
## Value Proposition

Communicates the **unique benefit** the firm offers.

Part of the **Core Strategy** of a business model.

Focuses on **what value** is promised.

Used for strategic positioning & differentiation.



## MVP

A **basic version** built to test customer interest.

Part of **feasibility analysis** and concept testing.

Tests **whether customers value it in reality**.

Used for learning, iteration, and refining value.

